Answer Key - Economics - K-12 Level Assessment 15 (Answers are ordered exactly as in the question paper.)

Multiple Choice

1. **Answer:** D
   Options: A) direct relation between unemployment and inflation; B) direct relation between price and quantity demanded; C) inverse relation between price and quantity demanded; D) inverse relation between unemployment and inflation
   Note: Correct option: D - inverse relation between unemployment and inflation

2. **Answer:** D
   Options: A) The price floor shifts the demand curve to the left.; B) An effective floor creates a shortage of the good.; C) The price floor shifts the supply curve of the good to the right.; D) To be an effective floor, it must be set above the equilibrium price.
   Note: Correct option: D - To be an effective floor, it must be set above the equilibrium price.

3. **Answer:** D
   Options: A) the price level is constant with an increase in aggregate demand.; B) the price level falls with an increase in aggregate supply.; C) the price level is constant with an increase in long-run aggregate supply.; D) the price level rises with an increase in aggregate demand.
   Note: Correct option: D - the price level rises with an increase in aggregate demand.

4. **Answer:** A
   Options: A) the United States to be a net exporter of copper.; B) the United States to impose a tariff on imported copper to protect domestic producers.; C) the demand for U.S. copper to fall.; D) a growing trade deficit in the United States in goods and services.
   Note: Correct option: A - the United States to be a net exporter of copper.

5. **Answer:** D
   Options: A) is thought to slightly overestimate the inflation rate; B) uses base year quantities in its calculations; C) incorporates both current year prices and base year prices; D) incorporates current year quantities in its calculations
   Note: Correct option: D - incorporates current year quantities in its calculations

True / False

6. **Answer:** False
   Options: A) True; B) False
   Note: LLM-generated false statement. Correct answer: 'is Latin for "everything else remains constant.'.

7. **Answer:** False
   Options: A) True; B) False
   Note: LLM-generated false statement. Correct answer: 'Air'.

8. **Answer:** False
   Options: A) True; B) False
   Note: LLM-generated false statement. Correct answer: 'Changing tariffs and quotas on imported goods'.

9. **Answer:** False
   Options: A) True; B) False
   Note: LLM-generated false statement. Correct answer: 'An increase in aggregate supply.'.

10. **Answer:** True
    Options: A) True; B) False
    Note: LLM-generated true statement based on MCQ.

Long Form Response

11. **Answer:** firms supply goods to households in exchange for revenues.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
    Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

12. **Answer:** A new production technique that lowers costs.. Explain why this is the correct answer and provide supporting evidence. Reference key facts or concepts that support this choice.
    Note: Long-form derived from MCQ; award credit for stating the correct idea and giving supporting reasoning.

End of Answer Key